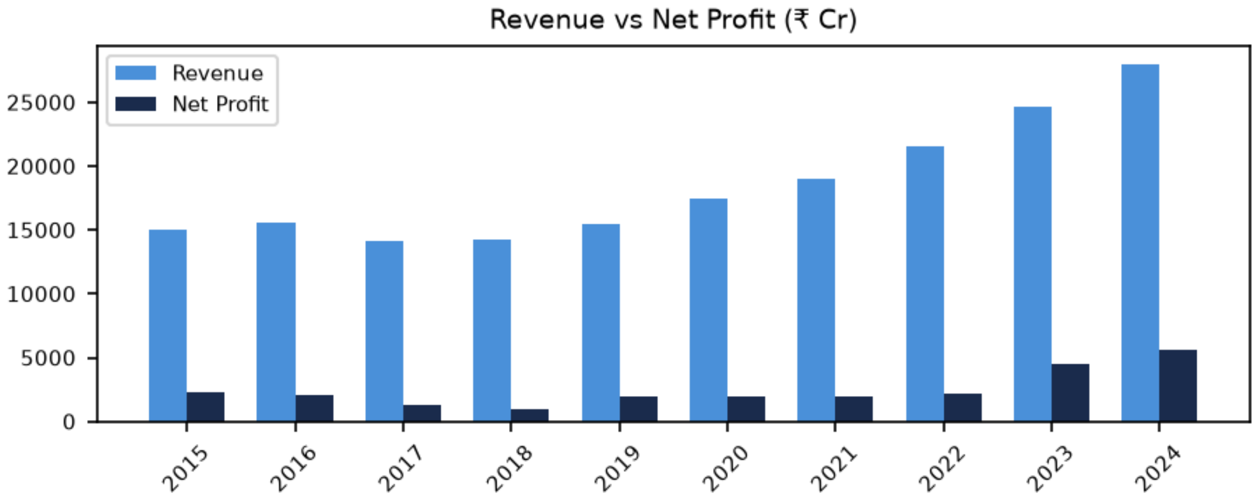
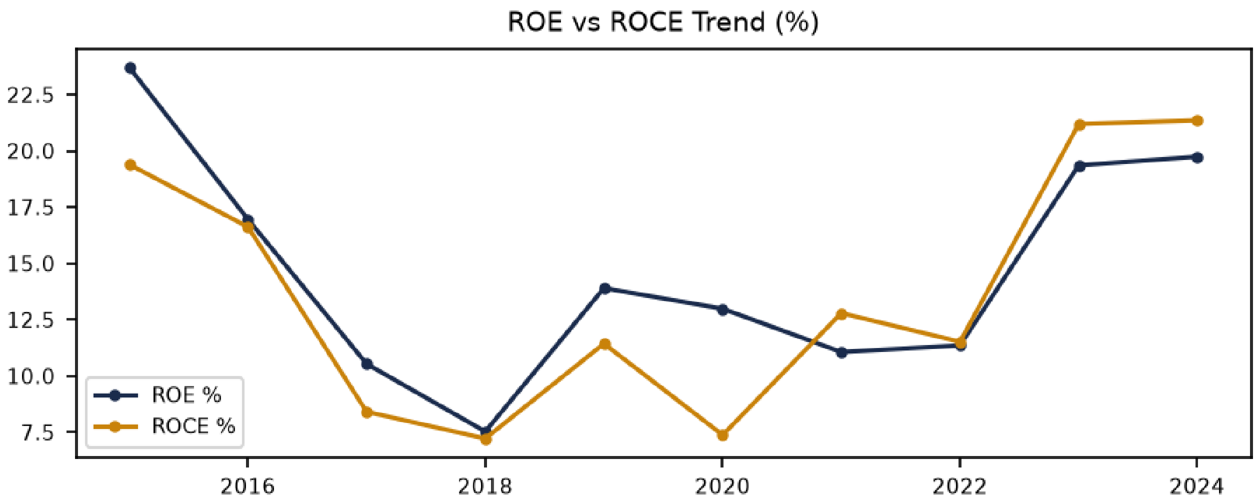
Dr Reddys Laboratories Ltd

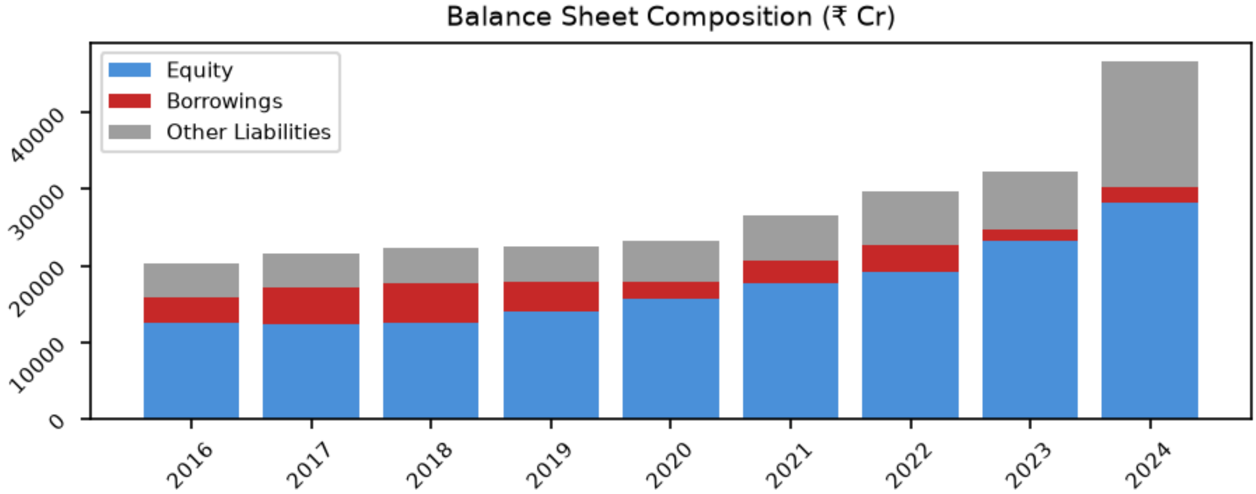
DRREDDY · Healthcare

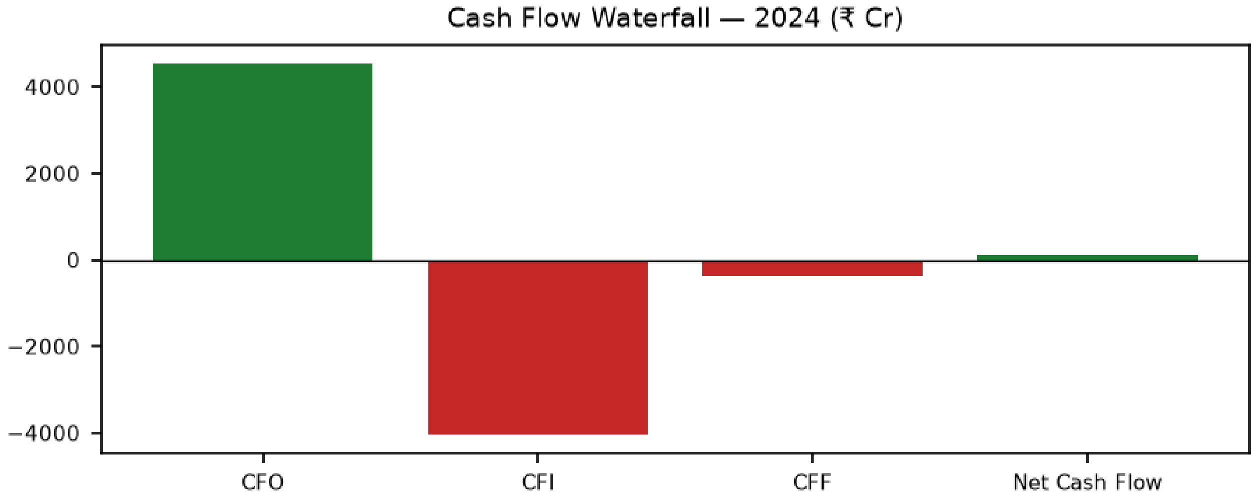
ROE	ROCE	Net Profit Margin
19.7%	21.4%	19.9%

Debt-to-Equity	Revenue CAGR (5yr)	Free Cash Flow
0.07	12.6%	■509 Cr









Pros	***Cons***
✓ Strong free cash flow generation over 5 years signals healthy business fundamentals	✗ Debt-to-equity ratio of 0.07 is a factor worth monitoring given the company's capital structure
✓ Return on equity improving for 3 consecutive years shows strengthening business quality	
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits	
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing	
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value	

Capital Allocation: Reinvestor